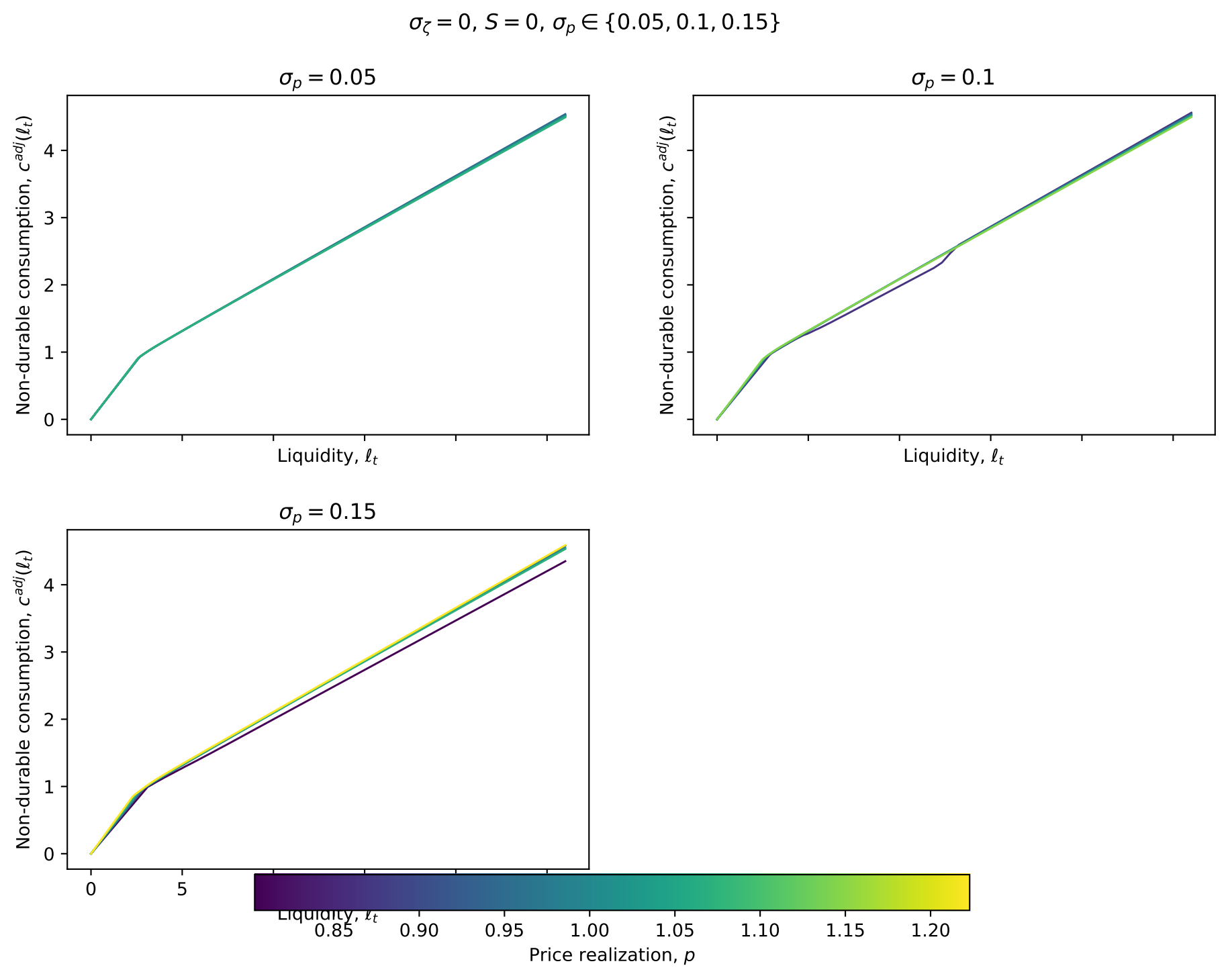
$\sigma_\zeta = 0$, $S = 0$, $\sigma_p \in \{0.05, 0.1, 0.15\}$
$\sigma_p = 0.05$
$\sigma_p = 0.1$
$\sigma_p = 0.15$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
0.85
0.90
0.95
1.00
1.05
1.10
1.15
1.20
Price realization, p